Excel Mini Project-

NETFLIX

Revenue & Subscriber Analytics Report

2019 – 2024

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1. Executive Summary

This report presents a comprehensive financial and subscriber analysis of Netflix, Inc. from 2019 to 2024, leveraging quarterly and annual data across key performance indicators including total revenue, subscriber growth, profitability metrics, regional breakdowns, content investment, and operating margins.

Netflix demonstrated exceptional growth over the six-year period, with total revenue increasing from $20.2B in 2019 to $38.9B in 2024 — a 93% increase. Total subscriber count grew from 167.1 million to 301.6 million (+80%). Net profit surged significantly from $1.9B in 2019 to $8.9B in 2024, with operating margins expanding from 12.9% to 26.7%.

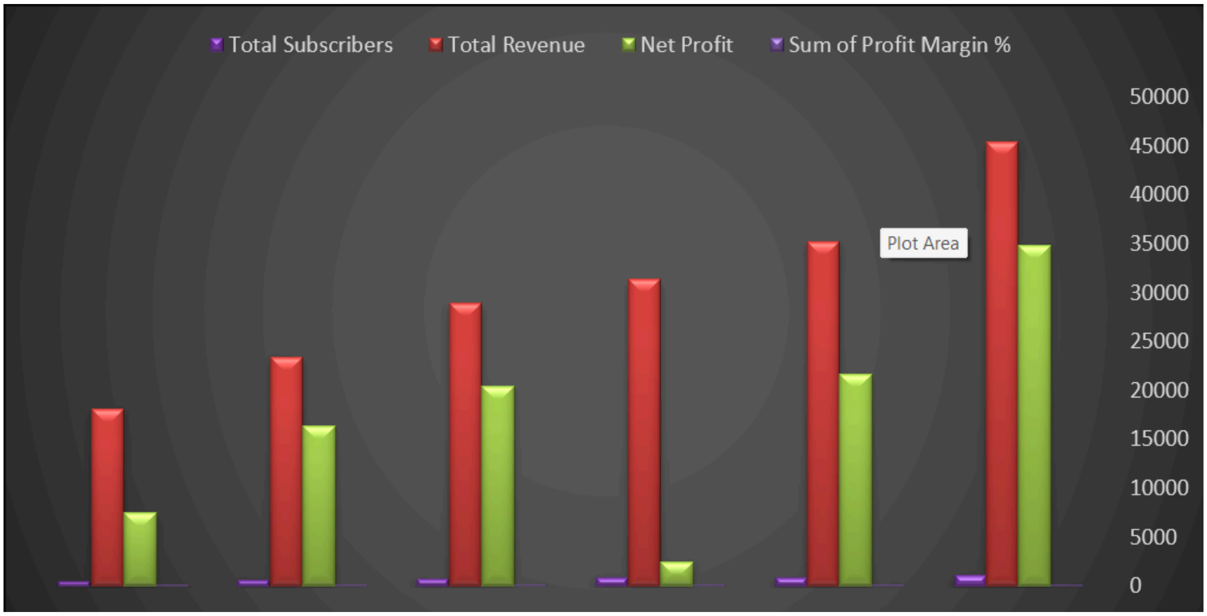
The year 2022 marked a notable dip in profitability (net profit fell to $1.6B, margin 5.1%) due to subscriber stagnation and rising content costs, but the company rebounded strongly in 2023–2024 through strategic initiatives including ad-supported tiers and password-sharing crackdowns.

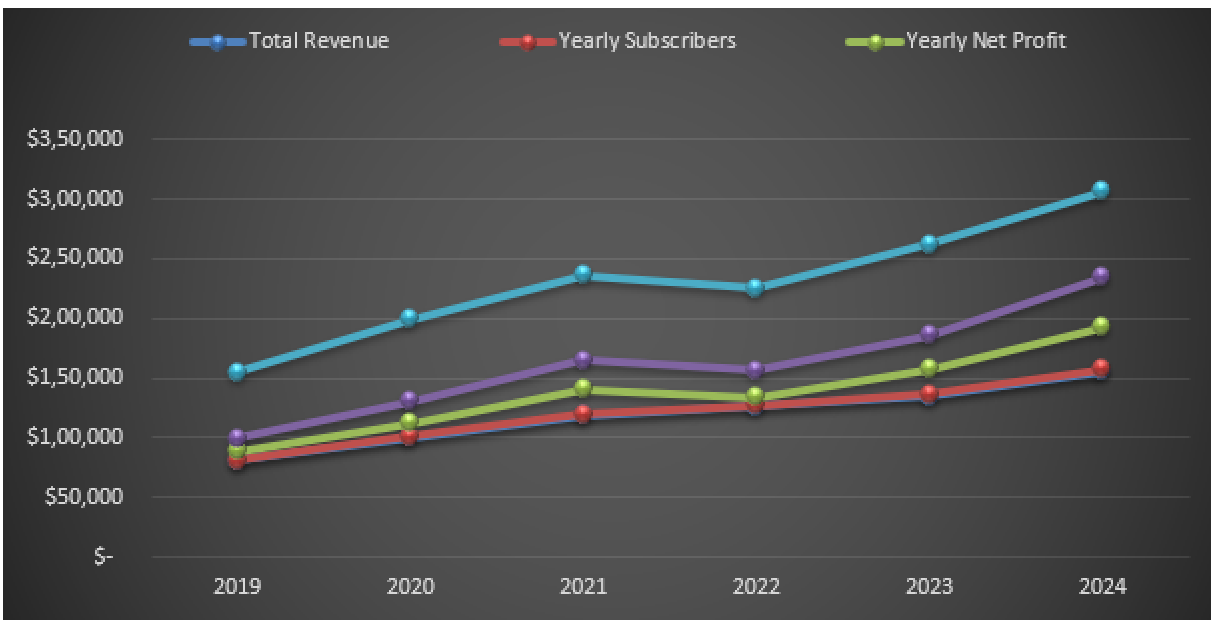
Key Performance Highlights (2024)

Metric	2024 Value	YoY Change
Total Revenue	$38.9B	+15.5%
Subscribers	301.6M	+15.9%
Net Profit	$8.9B	+64.3%
Profit Margin	22.8%	+6.8 pts
Content Cost	$18.0B	-6.0%

2. Revenue & Subscriber Growth Analysis

Netflix's revenue trajectory from 2019 to 2024 reflects consistent growth driven by subscriber acquisition, pricing increases, and market expansion. The compound annual growth rate (CAGR) for revenue over this period stands at approximately 14.1%, while subscriber CAGR was approximately 12.5%.





Revenue Growth Drivers

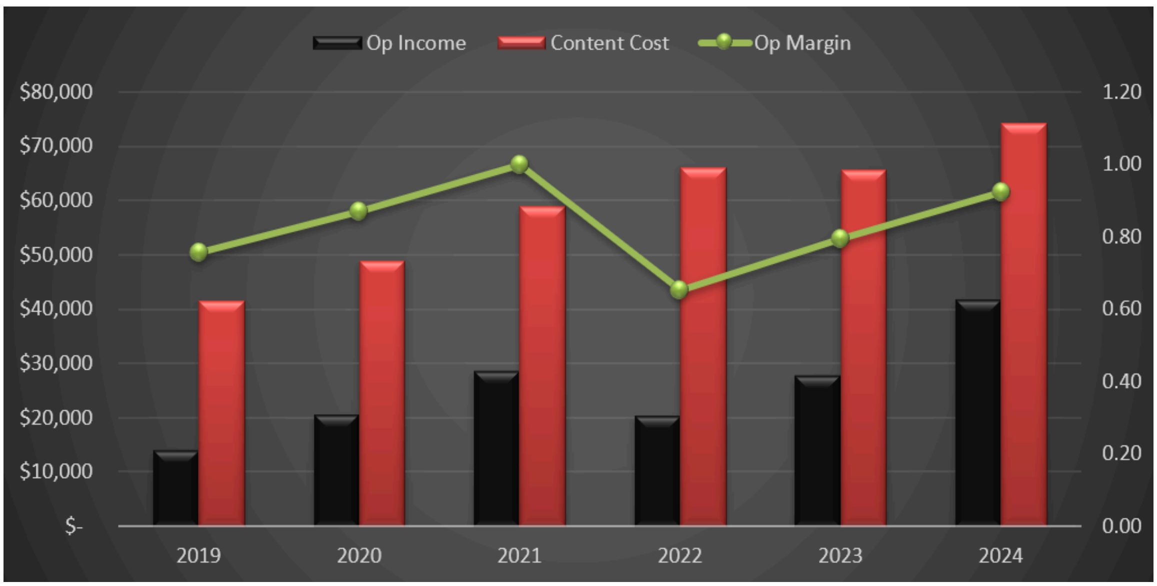
- Subscriber base grew from 167.1M (2019) to 301.6M (2024), adding over 134M paying members.
- Average Revenue Per Membership (ARPM) increased steadily, particularly in the UCAN region.
- Introduction of ad-supported tiers in late 2022 opened a new monetisation channel.
- Password-sharing enforcement in 2023 contributed to a sharp subscriber rebound (+39.6M in 2023 alone).
- Pricing strategy revisions across markets supported revenue per user expansion.

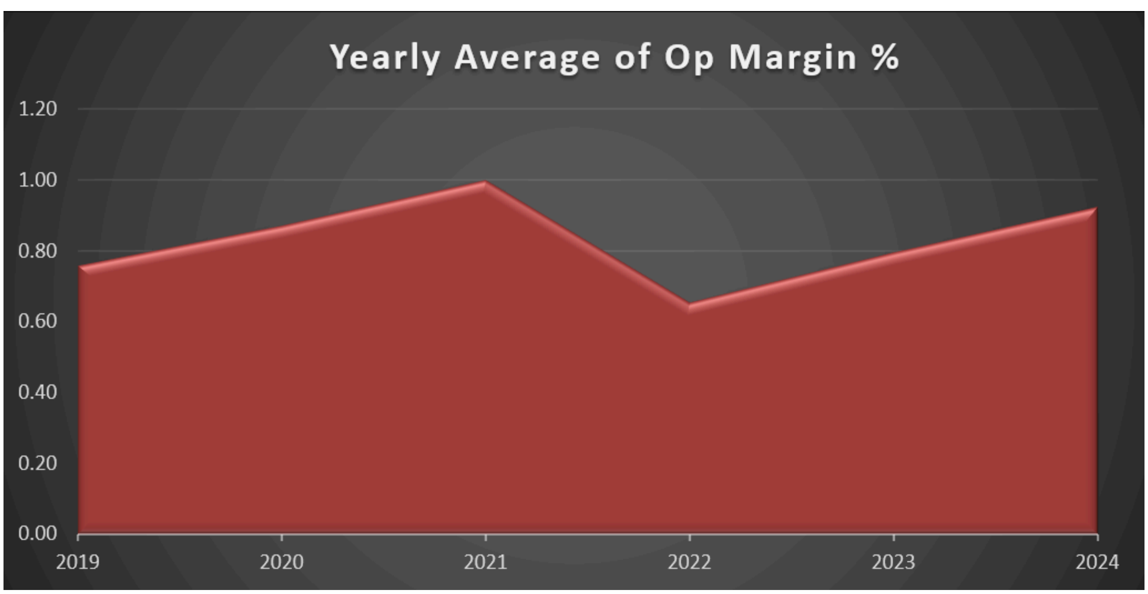
Subscriber Dynamics

2022 was an exceptional year as subscribers declined by 1.1M (220.7M vs 221.8M in 2021), marking the first annual decline in Netflix's history. This was attributed to post-pandemic normalisation, increased competition from Disney+, HBO Max, and Apple TV+, and password-sharing without enforcement. The subsequent rebound to 260.3M in 2023 and 301.6M in 2024 underscores the impact of corrective measures.

3. Profitability & Cost Analysis

Netflix's profitability has followed a volatile but ultimately upward trajectory. Net profit dipped sharply in 2022 due to elevated content costs, foreign exchange headwinds, and slowing subscriber growth. However, the company achieved record profitability in 2024 with $8.9B net profit and a 22.8% profit margin.





Annual Profitability Summary

Year	Revenue ($M)	Net Profit ($M)	Op Income ($M)	Op Margin	Profit Margin
2019	20,157	1,867	2,604	12.9%	9.3%
2020	24,996	2,761	4,585	18.3%	11.0%
2021	29,698	5,116	6,195	20.9%	17.2%
2022	31,616	1,625	5,633	17.8%	5.1%
2023	33,723	5,408	7,006	20.8%	16.0%
2024	38,948	8,884	10,419	26.7%	22.8%

Content Cost Strategy

Content spending has been a critical lever for Netflix. After a significant ramp-up from $13.9B in 2019 to $17.7B in 2021, costs stabilised around $17–19B. Notably, content costs decreased to $18.0B in 2024 even as revenue surged, reflecting improved efficiency in content investment — a key driver of the record operating margin of 26.7%.

4. Regional Performance Analysis

Netflix operates across four key geographic segments: United States & Canada (UCAN), Europe Middle East & Africa (EMEA), Latin America (LATAM), and Asia-Pacific (APAC). Each region exhibits distinct growth trajectories and revenue contribution profiles.

Regional Revenue Data ($M)

Year	UCAN Rev	EMEA Rev	LATAM Rev	APAC Rev	UCAN Subs	EMEA Subs	LATAM Subs	APAC Subs
2019	9,762	4,279	2,686	1,396	60.5M	37.0M	28.1M	12.3M
2020	11,890	5,801	3,565	2,179	72.0M	46.7M	31.1M	16.2M
2021	14,076	7,649	4,243	2,908	75.4M	61.2M	38.6M	31.9M
2022	14,668	8,871	4,220	3,578	73.9M	68.8M	40.7M	35.1M
2023	15,055	10,587	5,249	4,324	76.5M	77.4M	44.7M	45.6M
2024	17,947	14,031	7,416	6,034	87.4M	93.3M	54.8M	64.1M

Regional Insights

- UCAN remains the highest revenue region at $17.9B in 2024 (46% of total), but its share has declined as other regions grow faster.
- EMEA is the fastest-growing region in absolute revenue terms, rising from $4.3B to $14.0B (+227%) — and surpassed UCAN subscriber count in 2023.
- APAC showed the most dramatic subscriber growth, from 12.3M in 2019 to 64.1M in 2024 (+421%), reflecting successful penetration of markets like Japan, South Korea, and India.

- LATAM revenue grew from $2.7B to $7.4B (+176%), with subscriber count more than doubling to 54.8M.

5. Quarterly Trends & Seasonality

Quarterly analysis reveals interesting patterns in Netflix's revenue and subscriber dynamics. Historically, Q1 has been strong for subscriber additions following holiday-season content releases, while Q2 and Q3 show more moderate acquisition. Q4 typically benefits from the festive content slate.

Revenue has grown consistently across all quarters year-on-year, driven by price increases and subscriber base expansion. The quarterly operating margin has also improved significantly, particularly from Q1 2023 onwards as the company's profitability initiatives took effect.

Notable Quarterly Observations

- Q1 2023 marked a turning point with the rollout of paid sharing enforcement in select markets, resulting in a net subscriber addition of 1.75M — above analyst expectations.
- Q3 2023 saw the largest single-quarter subscriber addition in two years as the password-sharing crackdown was extended globally.
- Operating margins surpassed 20% consistently from Q1 2023 onwards.

- Q4 2024 set a record with the highest quarterly net profit in company history, benefitting from blockbuster original content and expanded ad revenue.

6. Key Findings & Conclusions

Strengths

- Strong revenue CAGR of ~14.1% across 2019–2024 despite macroeconomic headwinds.
- Record operating margin of 26.7% in 2024 demonstrates exceptional cost discipline.
- Successful diversification into ad-supported tiers creates a new, scalable revenue stream.
- Global subscriber base of 301.6M provides significant pricing power.
- EMEA and APAC regions show robust growth, reducing over-dependence on UCAN.

Challenges

- 2022 subscriber decline highlighted vulnerability to password-sharing and competitive pressure.
- Content costs remain high (~$18B annually), requiring careful ROI management.

- ARPM growth in APAC and LATAM remains constrained by lower purchasing power parity in those markets.
- Intense competition from Disney+, Apple TV+, Amazon Prime Video, and local streaming services.

Outlook

Netflix enters 2025 from a position of strength. With a subscriber base exceeding 300M, expanding ad-revenue infrastructure, a disciplined content budget, and consistent margin expansion, the company is well-positioned for sustained profitable growth. The focus on live events, sports streaming, and gaming presents additional monetisation opportunities beyond traditional subscription video-on-demand.

References & Data Sources

- Netflix, Inc. Annual Reports (2019–2024) — investor.netflix.com
- Netflix Quarterly Earnings Releases (Q1 2019 – Q4 2024)
- Kaggle Dataset: Netflix Financial & Subscriber Data
- Excel Dataset: Netflix_final.xlsx — processed quarterly and annual KPI sheets